

Contestant Number: _____

Time: _____

Rank: _____



FEDERAL INCOME TAX ACCOUNTING (140) **STATE 2021**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each)	_____ (30 points)
True/False (10 @ 1 point each)	_____ (10 points)

APPLICATION KNOWLEDGE:

Short Answer (10 @ 2 points each)	_____ (20 points)
Job 1: Carlton Tax Return (19 @ 3 point each)	_____ (57 points)
Job 2: Fish Tax Return (25 @ 3 points each)	_____ (75 points)
<i>TOTAL POINTS</i>	<i>_____ (192 points)</i>

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morris Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Assumption: The 2019 tax regulations and forms are used for this exam.

MULTIPLE CHOICE: Choose the best answer or statement for each of the following questions. (30 points, 2 points each)

Part 1 Multiple Choice: 20 questions, 2 points each for a total of 40 points

Choose the best answer or statement for each of the following questions.

1. A taxpayer must complete Schedule B for Form 1040 if they have \$_____ or more of interest or _____ income?
 - A. \$1,500, dividends
 - B. \$2,000, self-employment
 - C. \$1,000, non-taxable
 - D. \$1,800, foreign
2. _____ is the *only* deduction below that is *never* refundable?
 - A. American Opportunity Credit
 - B. Earned Income Credit
 - C. Additional Child Tax Credit
 - D. Student Loan Interest
3. What statement is *not* true?
 - A. A taxpayer can claim parents as dependents only if they live with the taxpayer.
 - B. Health Savings Account deposits are deductible.
 - C. There is Earned Income Credit available for single taxpayers without dependents.
 - D. Long- Term Capital Gains are taxed at a lower rate as Short-Term Capital Gains.
4. A head of household taxpayer with three qualifying children would receive how much for the Earned Income Credit if the taxpayer has \$25,222 of earned income?
 - A. \$4,523
 - B. \$5,252
 - C. \$5,262
 - D. \$6,471
5. A taxpayer is over 65 years old, blind, and single. _____ is the additional amount they received on their standard deduction.
 - A. \$1,300
 - B. \$3,300
 - C. \$1,650
 - D. \$2,600
6. A sole proprietor taxpayer put a 5-year piece of equipment into service on September 29, 2018. Using MACRS DDB, _____ depreciation will be taken in 2019 on this piece of equipment assuming no section 179 was taken and the equipment cost was 11,100 with a salvage value of 900.
 - A. \$2,040
 - B. \$2,220
 - C. \$3,264
 - D. \$3,252

7. If two joint filing, healthy 33-year old married taxpayers have three children that live with them all year long and qualify as dependents, _____ is the exemption deduction in 2019.
- A. \$16,000
 - B. \$0
 - C. \$12,000
 - D. \$16,400
8. A sole proprietor has a commercial building she put in service in October of 2005. The building cost is \$125,000 *not* including the land which is valued at \$15,000. _____ is the amount of depreciation she will take on this asset in 2019. *Round to the nearest dollar.*
- A. \$4,445
 - B. \$3,969
 - C. \$4,444
 - D. \$3,968
9. _____ would *not* be fully deducted on Form 1040, Schedule C?
- A. Personal property taxes for the business
 - B. Real estate taxes for the business
 - C. Laptop used for business approximately eighty percent of the time
 - D. Mortgage interest on building for business
10. A taxpayer owns a duplex with two units and the Mortgage Interest paid for the year is \$9,000. Unit #1 is rented all year and has 1200 square feet and Unit #2 is rented 12 months and has 800 square feet. \$_____ and \$_____ would be the deduction for mortgage interest deduction for Units #1 and #2 respectively.
- A. 4,500, 4,500
 - B. 3,600, 5,400
 - C. 9,000, 0
 - D. 5,400, 3,600
11. What would prevent you from using Form 2441.
- A. You have dependents under 13 years old.
 - B. You are claiming the education credit.
 - C. Your gross income is \$40,000.
 - D. You were reimbursed from your employer for all day care incurred.
12. Which is *not* true for filing Form 8863.
- A. You need to attend a qualified higher learning institution.
 - B. You can take the American Opportunity Credit for two years.
 - C. Line 7 of form 1040 is \$180,000.
 - D. Up to 45% is potentially refundable.

13. Assume Donald is a self-employed accountant that has a qualifying home office. His house has a total of 2,000 square feet, and he uses 200 square feet for his office. His utilities are \$850, real estate taxes are \$3,500, mortgage interest paid is \$3,400, and food for personal meals cost are \$3,000 for the year. Excluding depreciation, Donald can deduct _____ for these listed expenses for the home office, assuming he has sufficient enough profit beyond this expense.
- A. \$775
 - B. \$925
 - C. \$1,025
 - D. \$1,075
14. Laramie is a single taxpayer who has two children ages 5 and 7. She pays \$6,200 in deductible day care expenses during the year and has AGI of \$34,989 (all is earned income). _____ would be the deduction for child and dependent care.
- A. \$1,240
 - B. \$1,500
 - C. \$1,550
 - D. \$1,200
15. If a business puts more than 40% of its MACRS depreciable property into service in the fourth quarter of the tax year, the business must use _____.
- A. MACRS half-year convention
 - B. Straight-line depreciation
 - C. MACRS Mid-quarter convention
 - D. No depreciation is allowed

TRUE/FALSE QUESTIONS: A = True, B = False (10 points, 1 point each)

1. Gambling losses *can* always be deducted.
 - A. True
 - B. False
2. A disabled child *cannot* be claimed as a dependent.
 - A. True
 - B. False
3. An aunt of two children, who live with her for two months, would qualify as a Head of Household taxpayer.
 - A. True
 - B. False
4. The tax liability for married filing joint taxpayers with \$51,000 of taxable income is \$5,735.
 - A. True
 - B. False

5. Daycare costs for children under 13 can be deductible.
 - A. True
 - B. False
6. The 2019 standard deduction for a single taxpayer with no dependents is \$12,200.
 - A. True
 - B. False
7. A self-employed person with net income \$400 and over need *not* file a tax return.
 - A. True
 - B. False
8. Wages earned from an election poll are *not* taxable income.
 - A. True
 - B. False
9. Roth IRA distributions are entirely taxable.
 - A. True
 - B. False
10. Social security benefits are up to 85% of total taxable.
 - A. True
 - B. False

Short Answer: Calculating Taxable Income (5 questions @ 3 points each) 15 Points Total

1. Tax Look-up (10 @ 2 points each, 20 total points)

For each of the following situations, use the attached tax tables to find the tax liability.

Filing Status	Taxable Income	Tax Liability
MFJ	44,620	_____
S	57,360	_____
HOH	61,665	_____
MFS	76,850	_____
QW	32,680	_____

1. Tax Look-up (10 @ 2 points each, 20 total points) (continued)

For each of the following situations, use the attached tax tables to find the tax liability.

Filing Status	Taxable Income	Tax Liability
MFJ	49,550	_____
S	33,855	_____
HOH	41,400	_____
S	15,952	_____
MFJ	98,670	_____

JOB #1 (16 @ 3 points each = 48 points)

Ritz Carlton, a married taxpayer, has the following paid amounts during 2019, his AGI is \$77,400.

Real Estate Taxes Paid \$7,500 (includes special assessment of \$400)

Personal Property Taxes, \$90

Charitable Contributions in cash, \$2,300

State Income Tax Withheld, \$3,900

Real Estate Taxes paid on vacation home owned, \$2,970

Gambling losses \$2,120, he has gambling income, \$4,000

Form 1098 Mortgage Interest on main home, \$3,980

Form 1098 Mortgage Interest on home equity loan, \$2,600

Charitable Contributions-property gifts, \$190

Qualified medical deductions, \$9,220

Answer the following line questions regarding Carlton's Schedule A: YOU DO NOT NEED TO COMPLETE THE SCHEDULE-- JUST USE IT TO CALCULATE THE LINE ANSWERS.

<u>Line #</u>	<u>Amount</u>
Line 1	_____
Line 2	_____
Line 3	_____
Line 4	_____
Line 5a	_____
Line 5b	_____
Line 5c	_____
Line 5d	_____
Line 7	_____
Line 8a	_____
Line 10	_____
Line 11	_____
Line 12	_____
Line 16	_____
Line 16	_____
Line 17	_____

JOB #2 (19 @ 3 points each, 57 total points)

Red Fish, Sales Manager, is married with 2 children. Red and her husband Blue have the following income, deductions, and credit items for 2019. They file MFJ and were *not* 65 years old or blind. They do *not* itemize and did *not* last year.

W-2 Income equals \$69,400

Taxable Interest is \$595

Non-taxable Interest is \$440

Ordinary Dividends (all are qualified) of \$1,150

Unemployment Compensation is \$2,200

Poll Election Income is \$380

Blue is a first grade teacher and has educator expenses equal to \$280.

All children live with them all year long and qualify for the child tax credit, and they receive the full amount for each.

Federal W-2 withholding is equal to \$3,950, and is the only tax payments they have made.

FEDERAL INCOME TAX ACCOUNTING

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There is a 2019 Form 1040 for the Fish's found at the end of this test: **YOU DO NOT NEED TO TURN IN A COMPLETED FORM--JUST USE IT TO CALCULATE THE LINE ANSWERS.**

<u>Line #</u>	<u>Amount</u>
Line 1	_____
Line 2a	_____
Line 2b	_____
Line 3a	_____
Line 3b	_____
Line 6	_____
Line 7	_____
Line 8	_____
Line 10	_____
Line 11a	_____
Line 11	_____
Line 12a	_____
Line 12	_____
Line 13	_____
Line 15	_____
Line 16	_____
Line 18	_____
Line 19	_____
Line 20a	_____

Schedule 1 (Form 1040) Additional Income and Adjustments to Income

Line 7	_____
Line 8	_____

Line 9	_____
Line 10	_____
Line 22	_____